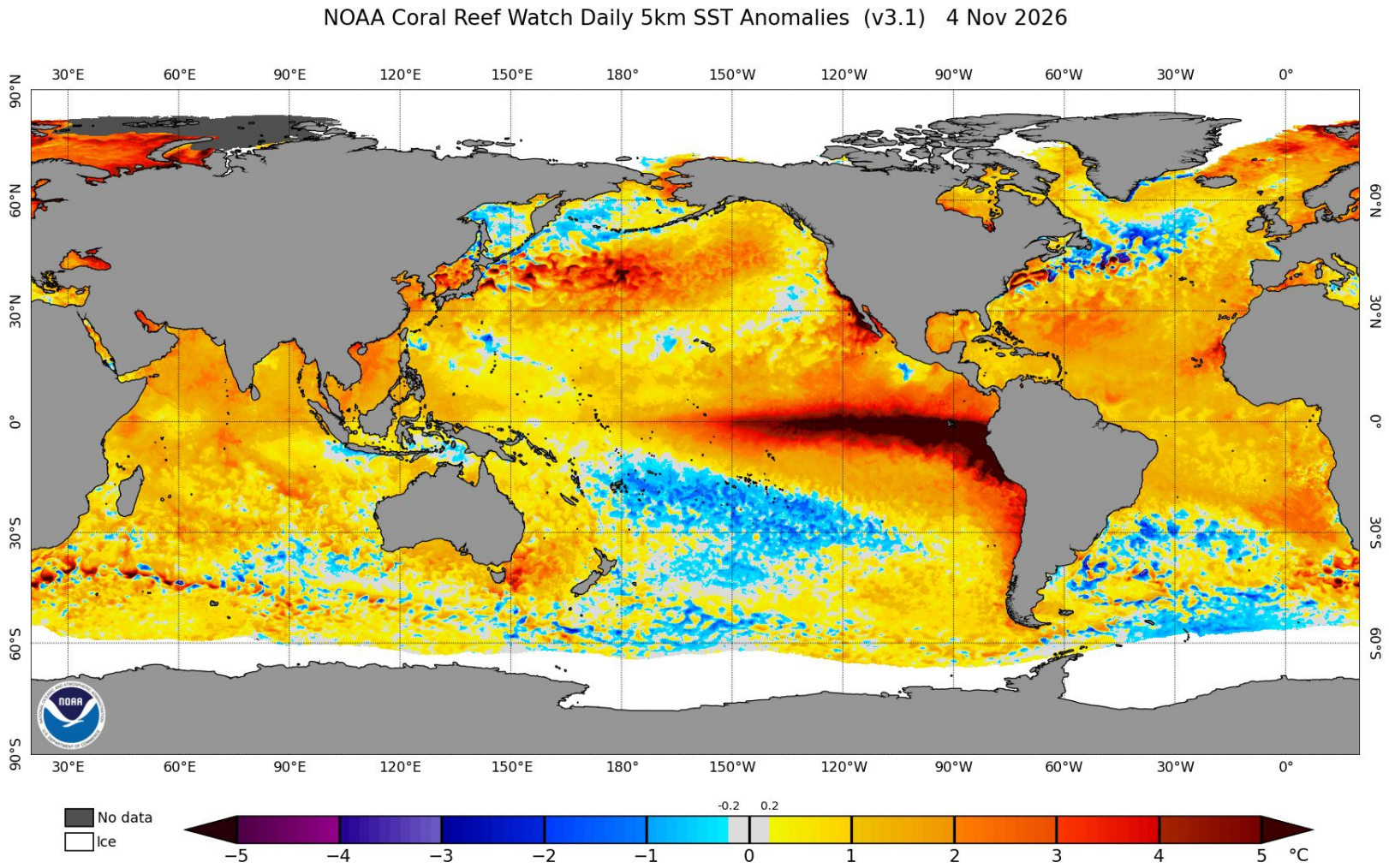
John Séror · 6 November 2026

How to Trade El Niño Over the Next Six Months

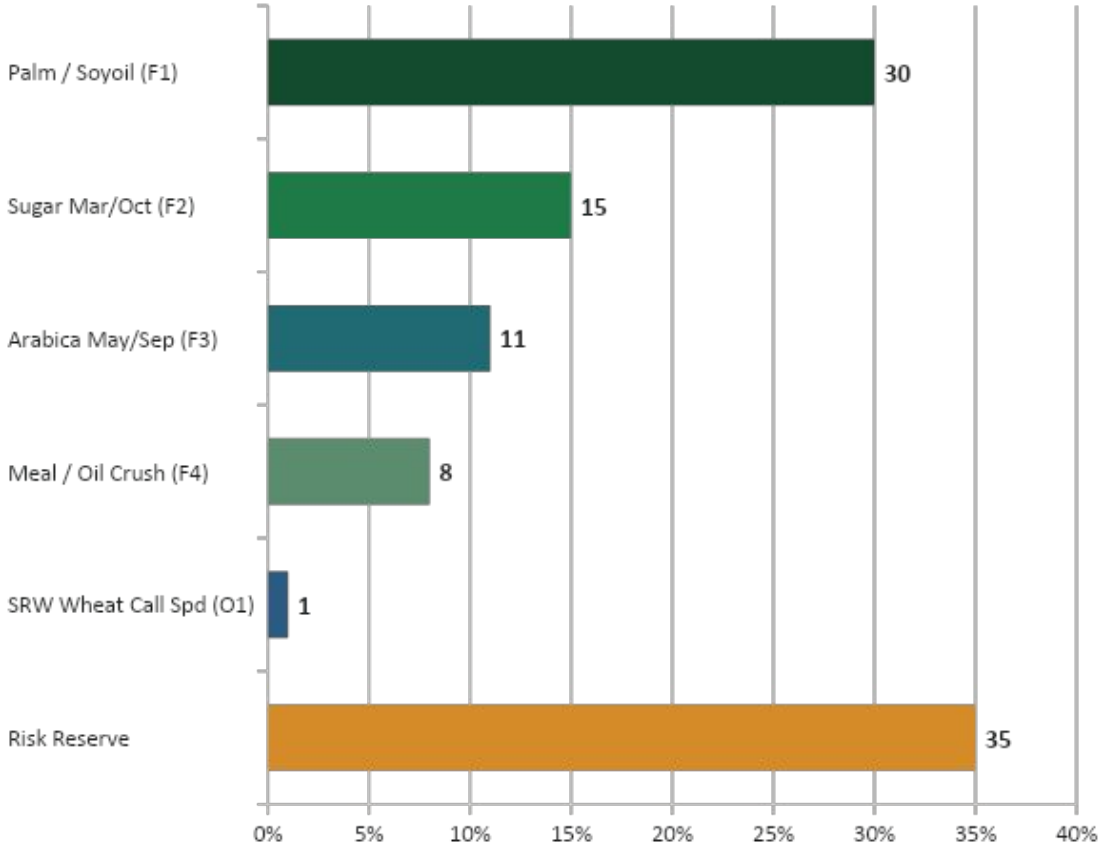


Current Physical Footprint (4 Nov 2026): NOAA satellite anomalies confirm an active East-Central Pacific El Niño (ONI +1.61°C; eastern Pacific tongue +3°C to +5°C).
Because this headline map is already priced in, our strategy focuses on delayed regional crop impacts.

65% Budget Deployed / 35% Risk Reserve

Sized to a 10.0% annualized volatility ceiling, one simple 100% risk-budget allocation across spreads and reserve.

Risk-Budget Share (Sum = 100%)



Why Spreads + 35% Risk Reserve?

- **Avoid flat-price weather baskets:** ONI (+1.61°C) is already priced in spot futures, and blind historical bets fail when global stocks rebuild (e.g., NY Cocoa +422 kt 25/26 surplus).
- **Deploy 65%, keep 35% risk reserve:** Deploying 65% of our vol budget across spreads delivers 6.5% expected annualized vol today, holding 35% unallocated capacity for dated triggers.

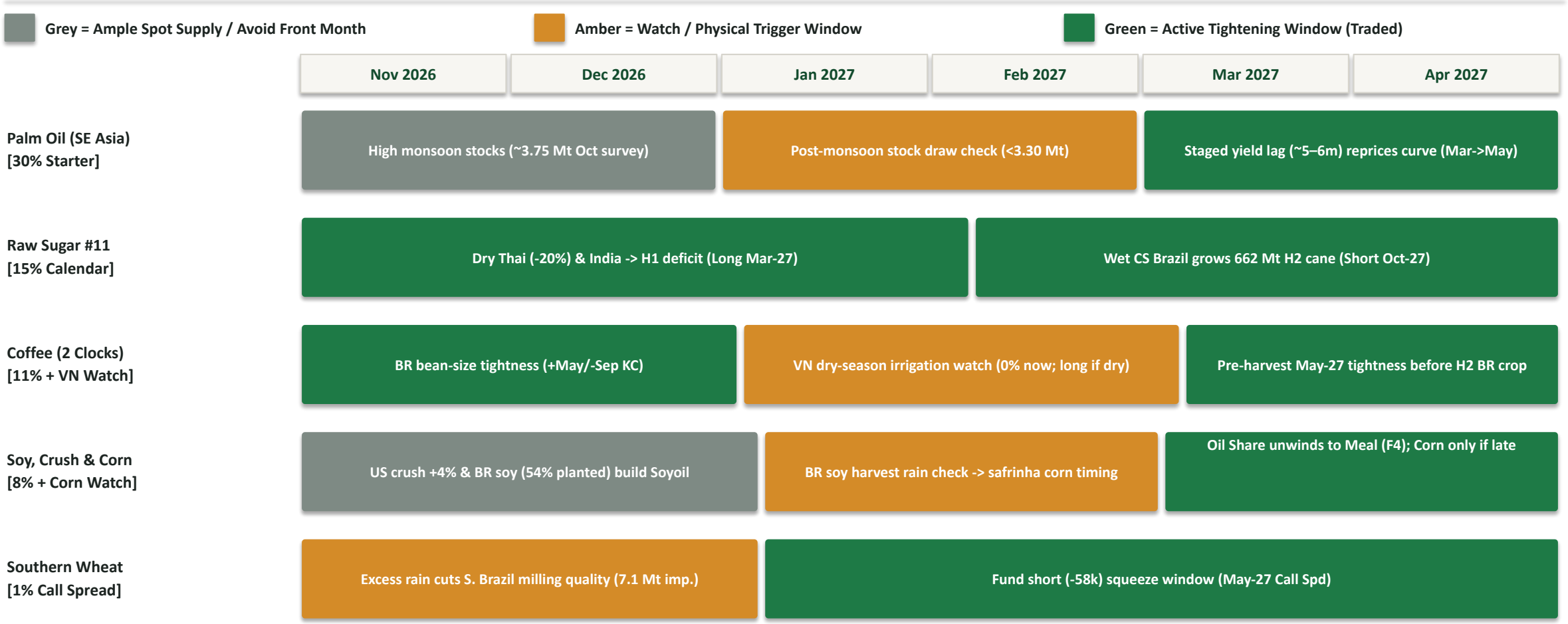
What If the Committee Rejects Palm?

- **Never all-in, never forced:** Palm (30% of mandate) is our largest single sleeve, not the whole book. If vetoed due to high autumn stocks, we do not substitute a weaker palm proxy.
- **Simple Fallback Allocation:** Rotate to Sugar Calendar (25%), Coffee Calendars (25% combined cap across Brazil & conditional Vietnam), Conditional Brazil Corn (15%), and Reserve (35%) -> ~6.5–7.5% vol.

Bottom Line: 30% Palm, 15% Sugar, 11% Arabica, 8% Crush, 1% Wheat, and 35% Unallocated Risk Reserve

When El Niño Hits Supply?

Each bar's color shows whether to wait out spot stocks, monitor a dated trigger, or trade the tightening window.

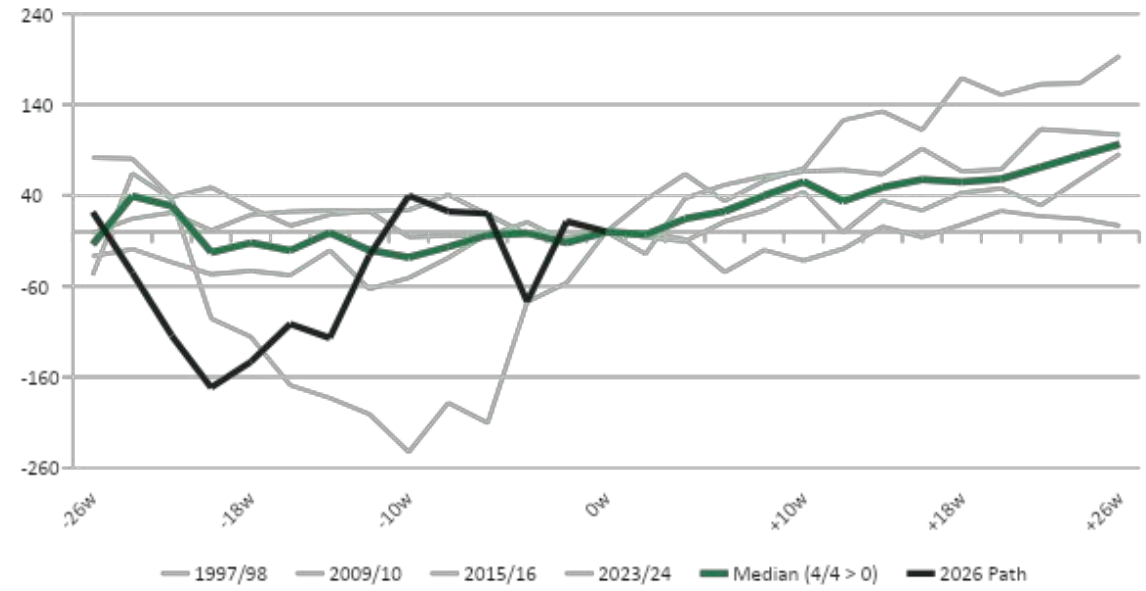


Contract Selection Rule: Buy deferred tenors aligned with Green tightening windows, hold Cash for Amber triggers, and never short a region entering drought.

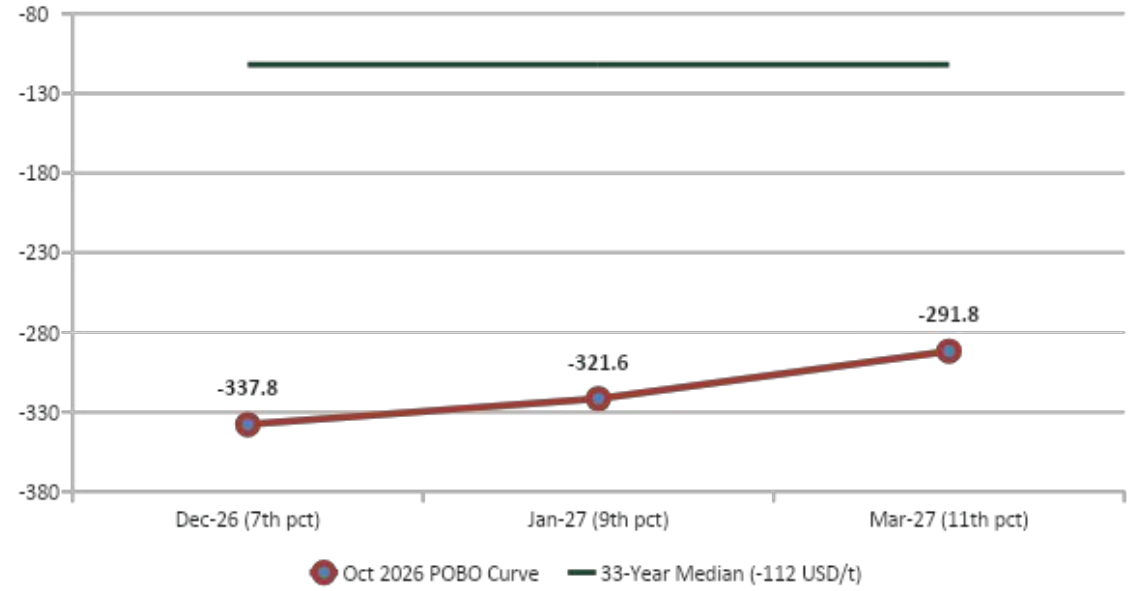
Long Mar-27 Palm vs Soyoil (POBO)

Mar-27 POBO (-292 USD/t) sits at its the 33-year 11th percentile, staged at 30% until autumn stocks draw.

A. Strong El Niño POBO Paths From Late Oct (3rd-Nearby Proxy, USD/t, N=4)



B. Current POBO Forward Curve vs 33-Year Median (USD/t)



1. Why POBO (or Standalone FCPO)

Captures Q1 curve repricing (rolling Mar-27 -> May/Jul pre-FND) + B40 vs +4% US crush. Or run Standalone Mar-27 FCPO.

2. Stock Peak (~3.75 Mt Oct Survey)

Oct survey stocks (~3.75 Mt vs 3.51 Mt Sep) reflect seasonal monsoon peak: start at 30%, add only after draws < 3.30 Mt, exit if Q1 > 3.85 Mt.

3. MYR Hedge & Biofuel Call Cap

Rolling USD/MYR NDFs hedge currency risk; cheap 4% IVR 70c Soyoil calls (0.5% mandate cost) cap loss if US 45Z biofuel policy spikes Soyoil.

Sizing: All 4 past strong El Niños lifted POBO over 26 weeks (N=4 small sample), starting at 30% respects high autumn stocks before scaling.

How Each Supporting Trade Connects to El Niño

Three linear relative-value spreads + one defined-risk wheat call spread (35% combined), plus two dated watchlist triggers.

F2 · Raw Sugar Calendar: +Mar-27 / -Oct-27 (15% Share)

- **El Niño Hemisphere Split:** Dry El Niño monsoons in Asia cut Thai output -20% (tightening H1-27), while warm/wet rains boost CS Brazil's H2-27 cane crop (662 Mt).
- **Why Calendar (+1.06c):** Captures H1 scarcity vs H2 surplus while avoiding +22.4% speculator flat-price crowding. Exit if spread drops < +0.55c.

F3 · Arabica Calendar: +May-27 / -Sep-27 (11% Share)

- **El Niño Quality vs Harvest Timing:** Heat shrunk washed bean sizes (~68c diffs, tight 225k NY certs) ahead of Brazil's rain-fed 77.2M-bag H2 harvest (+5.45c calendar).
- **Zero Short Vietnam Robusta:** Vietnam faces El Niño dry-season irrigation risk in Jan–Mar, we never short Robusta, keeping VN on long watch if reservoirs drop.

F4 · Meal / Soyoil Crush: +Mar-27 Meal / -Soyoil (8% Share)

- **Downstream El Niño Ripple:** Wet El Niño weather in S. America (54% soy planted) + +4% US crush swell Soyoil stocks (50% Oil Share), while tight Meal (15% carry) feeds hog demand.
- **Modest Diversifier:** Kept small at 8% (or 0% if house crush already overlaps). Exit if CBOT Oil Share closes > 52.5%.

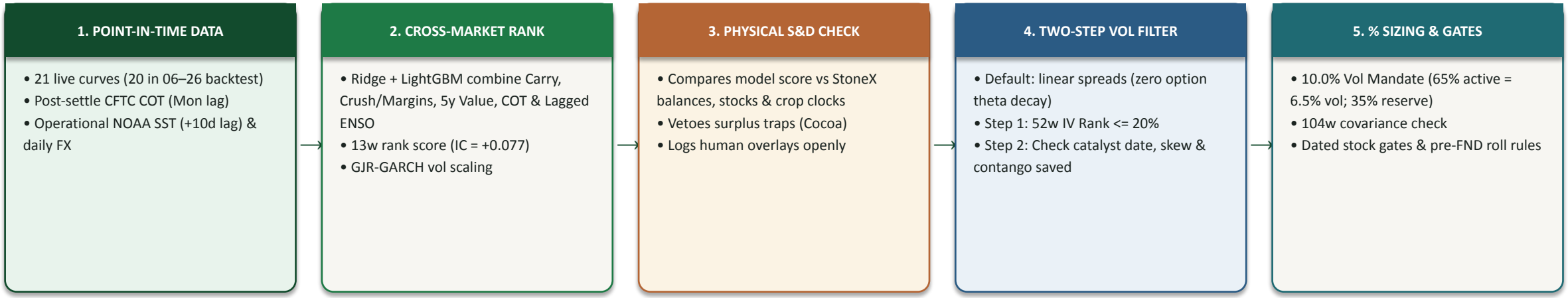
O1 · SRW Wheat 630/710 Call Spd (1%) + Corn Watch (0%)

- **El Niño S. Brazil Rain Damage:** Excess El Niño rain ruined S. Brazil wheat quality (7.1 Mt imports) + dry Australian risk vs -58k fund shorts (16% IVR; 0.6% max premium loss).
- **Conditional Brazil Corn (0% Today):** Requires late soy harvest -> late safrinha planting -> dry pollination. Enter (up to 15%) only if Jan rains delay planting past late Feb.

Portfolio Coherence: Direct El Niño weather dipoles drive the mandate on Palm, Sugar, Arabica, Wheat + 8% downstream Crush

How the Quantamental Engine Works

Cleans 33 years of curves with realistic release lags, ranks 21 markets, and leaves final trade design to physical judgment.



Strict Publication Lags (Zero Lookahead)

• **Post-Settlement CFTC COT:** Tuesday positions publish Friday 15:30 ET (after 14:15 ET CME ag settlement) — entering the next weekly session without post-close peeking.

• **Operational NOAA SSTs & FX:** Historical monthly SSTs use a +10-day operational lag (~10th of next month; live uses daily 5km / weekly OISST); FX is real-time daily.

Heuristic Ranking + Vol Scaling

• **Cross-Market Signal:** Regularized Ridge + LightGBM rank relative 13-week value across curves, margins, crowding, and lagged ENSO (IC = +0.077, t = 3.5).

• **Asymmetric Commodity Vol:** GJR-GARCH captures upward supply-spike volatility expansion to size relative risk shares.

Two-Step Option Discipline

• **Step 1 — Shortlist Screen:** 52-week IV Rank <= 20% filters out overpriced headline weather vol (shortlist only, never an auto-buy).

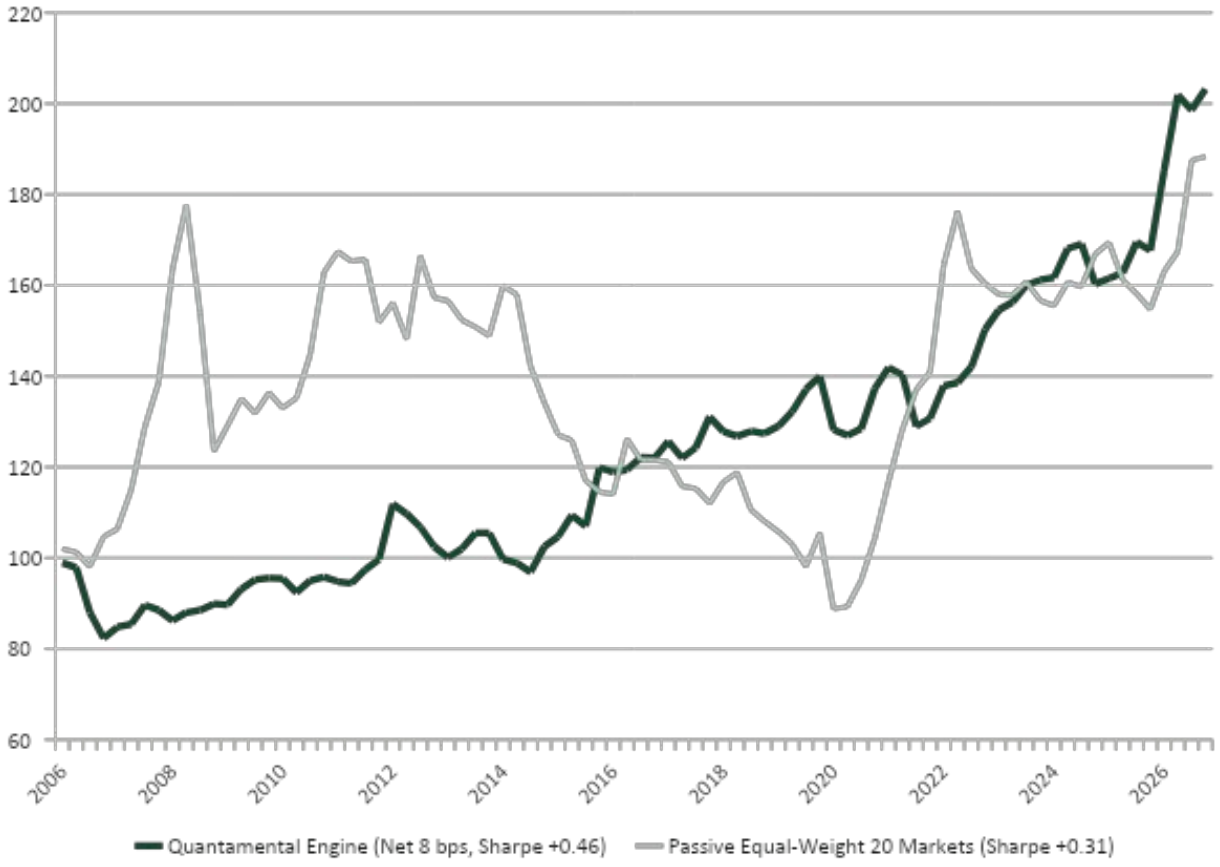
• **Step 2 — Economic Fit:** Verify expiry covers the physical catalyst (why Jan-27 Soy failed), breakeven width, and contango saved.

Clear Division of Labor: The systematic engine enforces point-in-time hygiene and cross-curve discipline; the human owns physical selection and risk triggers.

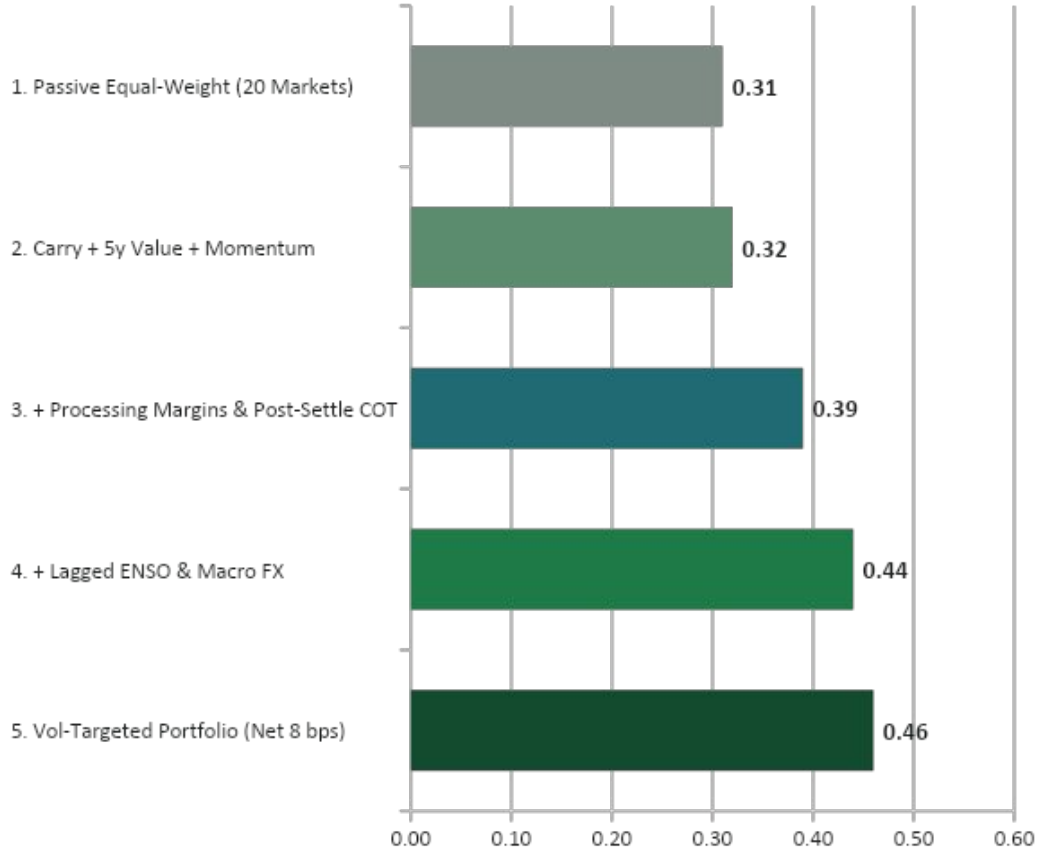
20-Year Out-of-Sample Walk-Forward Performance

Weekly-settlement screening diagnostic: margins, post-settle COT, and lagged ENSO lifted Sharpe from +0.31 to +0.46 (net of 8 bps costs).

A. Cumulative Excess Return Index (2006–2026, Base = 100)



B. Out-of-Sample Sharpe Progression by Signal Layer

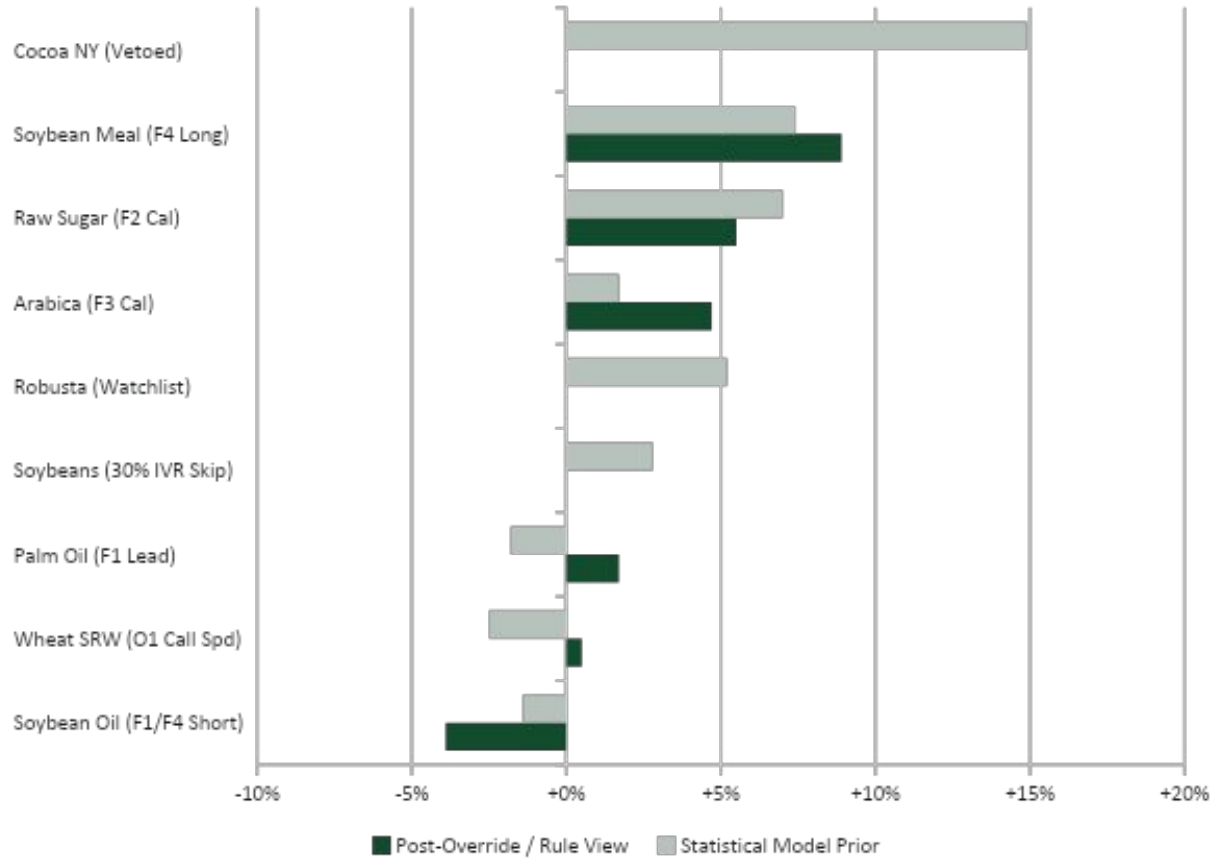


Key Takeaway: Processing margins & post-settle COT (+0.32 -> +0.39) plus lagged ENSO (+0.44) and Black-Litterman vol sizing lift net OOS Sharpe to +0.46.

Overrides on the Statistical Model

Making every veto and physical overlay explicit keeps human judgment accountable.

Statistical Prior vs Post-Override View (6M Heuristic Score, %)



1. NY Cocoa Hard Veto (+14.9% -> 0%)

Model extrapolated 2023/24 drought beta; StoneX Q4 shows rebuilt 25/26 global surplus (+422 kt; +25 kt 26/27e) & weak grindings at 42.6% IV. Vetoed.

2. Palm Lag Overlay (-1.8% -> +1.7%, Staged)

Model penalized front contango; our +3.5pp overlay captures stage-dependent lag + B40, held at a 30% starter until stocks draw.

3. Coffee Two-Clock Split (+May/-Sep KC)

Model scored Robusta +5.2%; because Jan–Mar Vietnam drought risk clashes with +19.6% spot exports, we keep Robusta on long watch (0% now).

4. Mar-27 Soybeans Options Skipped (30% IVR)

Jan-27 (18% IVR) expires Dec 24 before the Jan 10 tariff catalyst; Mar-27 sits at 30% IVR (>20% shortlist cutoff).

Accountability Rule: If dated physical prints contradict an overlay (e.g., palm stocks fail to draw), the overlay is removed immediately.

Scenario Probabilities & Modeled Pre-Roll Portfolio Returns (%)

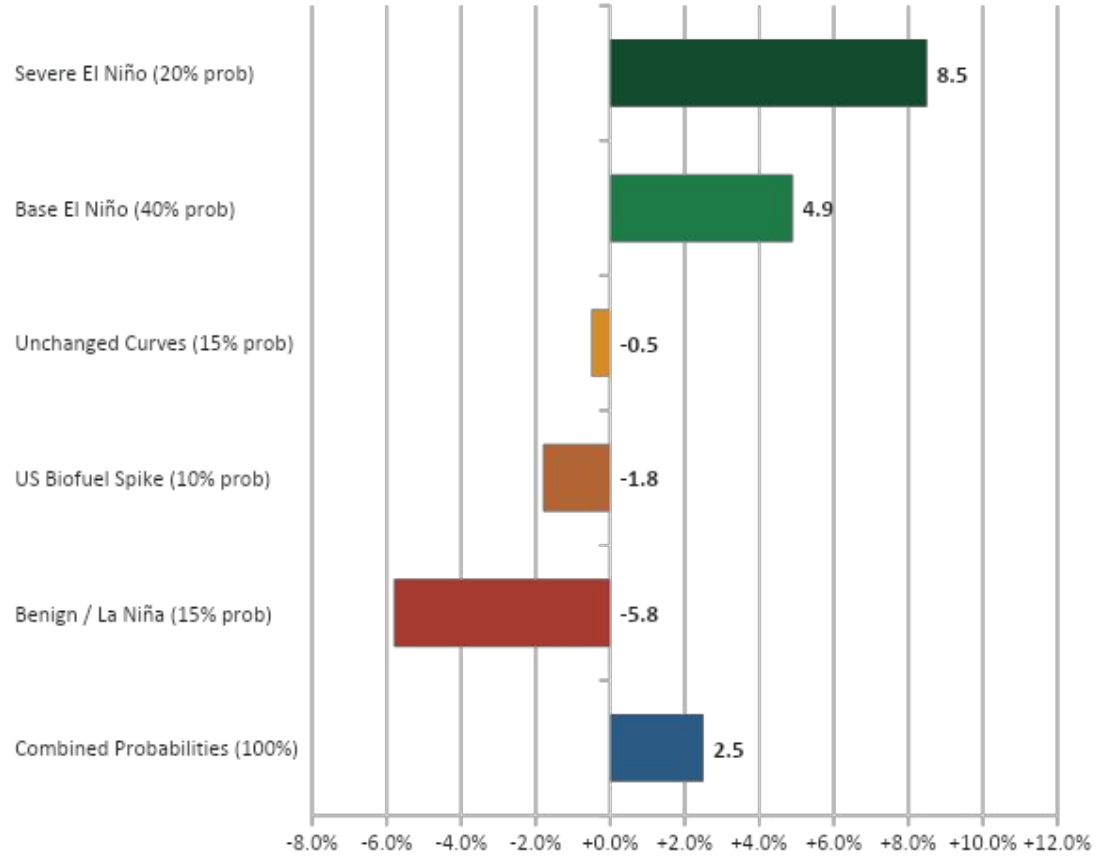
60–90d pre-roll horizon

Scenario	Est. Prob.	Key Physical / Policy Move	Return
Severe El Niño + Quality Stress	20%	Palm lag + B40 tighten; H1 Sugar & Arabica certs squeeze	+8.5%
Base El Niño Tightening	40%	POBO converges +147 USD/t (to -145 USD/t); H1/H2 Sugar & Meal hold	+4.9%
Unchanged Curves (90d Option Decay)	15%	Futures spreads flat (0%); 90-day option time decay only	-0.5%
US Biofuel Policy Spike (ZL +12c)	10%	EPA 45Z spikes Soyoil +12c; F1 70c calls cap loss, F4 linear	-1.8%
Benign Weather / Early La Niña	15%	SE Asia rains recover; palm stocks build; spreads unwind	-5.8%
Combined Probability-Weighted	**100%**	**Expected pre-roll modeled portfolio outcome**	**+2.5%**

Risk & Option Decay Transparency

- **Subjective Regime Weights:** Probabilities reflect active ONI +1.61°C base odds (60% tightening vs 40% flat/adverse) over our 60–90d pre-roll window (+2.5% mean).
- **Shared Soyoil & Theta:** F1's short Soyoil is capped at 70c while 8% F4 is linear (-1.8% in a +12c biofuel shock); 90d flat-curve option decay is -0.5%.

Modeled Pre-Roll Return by Scenario (% of Mandate)



Favorable Expected Mean: Upside El Niño scenarios (+4.9% to +8.5%) outweigh flat/biofuel shocks (-0.5% to -1.8%), yielding a +2.5% scenario-weighted mean.

What Evidence Deploys Reserve Risk / Triggers an Exit

Every scale-up from our 35% unallocated risk reserve, roll deadline, and stop rule is tied to dated physical releases.

NOV–DEC 2026

Palm Stock Draws

Scale Up: Oct survey sits near ~3.75 Mt; add from reserve (30% -> 50%) only once official MPOB draws < 3.30 Mt.

Watch: Malaysian monsoon rain & Indo B40 blending.

MID-DEC 2026

Sugar & Vol Check

Sugar H1 Crush: Verify Thai crush drop (-20% est.) & India export policy (exit F2 < +0.55c).

Re-Screen Soy: Check Mar-27 Soy IVR (<= 20%) ahead of Jan 10.

JAN 2027

VN & BR Triggers

VN Robusta: Deploy up to 10% long RM spread only if Central Highlands irrigation drops.

BR Corn: Deploy up to 15% only if late soy harvest delays safrinha past late Feb.

MID-FEB 2027

Pre-FND Roll Rule

Mandatory Roll: Close/roll all Mar-27 legs (e.g., F1 -> May/Jul) 10 business days before FND.

Palm Exit Check: Exit F1 if Q1 MPOB stocks build > 3.85 Mt or curve already prices lag.

MAR–MAY 2027

Lag Peak & Review

Harvest Window: SE Asia palm yield trough; NY Arabica cert check (<375k); Wheat CS expires Apr 23.

ENSO Flip Check: If 2027 La Niña odds > 65%, reassess each crop/tenor individually (damage stays).

Discipline: If physical triggers do not materialize, cash stays unallocated, protecting capital rather than defending stale narratives.

Value Add Specialist Data

Specialist input should calibrate a trigger, curve choice, or weight

1. Physical S&D Inputs We Would Ingest

- **Historical S&D Vintages:** Replace single-date snapshots with timestamped S&D balance-sheet revisions so walk-forward models learn stock-to-use shocks cleanly.
- **Palm & Vegoil Flows:** Indo/MY FFB mill intake, refinery margins, and vessel line-ups -> calibrate our <3.30 Mt stock gate and POBO vs Standalone FCPO choice.
- **Coffee, Sugar & Grain Basis:** Santos washed diffs, VN reservoir levels, and Mato Grosso harvest pace.

2. Quantitative Vol & Regime Upgrades

- **Archived Option Vol Surfaces:** Ingest 15-year delta-by-maturity American option surfaces to backtest skew, breakeven widths, and option rolls historically.
- **Regime-Dependent Correlations:** Upgrade flat 104-week covariance to state-dependent matrices capturing correlation spikes during severe weather or macro shocks.
- **Tenor-Specific Carry Curves:** Model contract-by-contract convenience yields across M1–M8.

3. House Overlap & 3-Ledger Attribution

- **Commercial Flow Check First:** Audit net house crush, vegoil, and softs exposure before sizing (e.g., set F4 Crush to 0% if commercial flows already short Oil Share).
- **Three-Ledger P&L Split:** Track separate performance for (1) Statistical Model Shadow, (2) Discretionary Overrides, and (3) Executed Portfolio.
- **Start Small, Earn Scale:** Open at pilot risk scale and add increments only as dated physical milestones confirm.

Open for Q&A: Thank you!

Portfolio Summary (% of 10% Vol Mandate) & Early-Nov Check

All allocations, post-trigger caps, and option costs expressed strictly as % of mandate.

Sleeve	Contracts & Expression	Day-1 Share	Post-Trigger Cap	Option Spend (% Mandate)	Scale Trigger & Exit Rule
F1 · Palm / Soyoil (Lead Starter)	Long FCPOH7 / Short ZLH7 + ZLH7 70c Calls (or FCPO only)	30%	Up to 50%	0.52%	Add: MPOB draw < 3.30 Mt Exit: Q1 > 3.85 Mt or < -355 USD/t
F2 · Raw Sugar (H1/H2 Split)	Long SBH7 (Mar-27) / Short SBV7 (Oct-27) #11	15%	15% (25% no-palm)	0.00%	Exit: Mar/Oct < +0.55c/lb; Mandatory H7 roll by 12 Feb
F3 · Arabica Cal. (Zero Short RM)	Long KCK7 (May-27) / Short KCU7 (Sep-27) Arabica	11%	11% (25% cap w/ VN)	0.00%	Exit: NY certs > 375k or < +1.50c; VN Robusta kept on long watch
F4 · Crush RV (Diversifier)	Long ZMH7 (Meal) / Short ZLH7 (Soyoil, linear)	8%	8% (0% if overlap)	0.00%	Exit: CBOT Oil Share > 52.5%; Set to 0% if house crush overlaps
O1 · SRW Wheat (16% IVR Pass)	May-27 SRW (ZWK7) 630 / 710 Bull Call Spread	1%	1%	0.58%	Defined max loss = 0.58%; Expires 23 Apr 2027
RISK RESERVE	**Unallocated Risk Reserve (VN Robusta · BR Corn · Mar Soy)**	**35%**	**0–35% Dynamic**	**0.00%**	**VN: Jan–Feb water · Corn: late Feb; Mar Soy skipped (30% IVR > 20%)**

Early-November Market Check (3–4 Nov 2026 vs 29–30 Oct Cutoff)

- **Stock Survey & Planting Pace:** Early-Nov Reuters/Bernama polls projected Oct MPOB stocks rising to ~3.75 Mt (vs 3.51 Mt in Sep) as Bursa FCPO eased ~3.8%, while Brazil soy planting reached 54.3% (ahead of 5y pace).
- **Portfolio Validation:** Higher autumn palm stocks validate starting F1 at 30% with 35% unallocated risk reserve rather than going all-in, and fast soy planting confirms keeping Brazil Corn at 0%.

Mandate Summary: 65% Deployed / 35% Reserve / Option Spend: 1.10% (-0.51% 90d decay).

Contract-Matched Weekly Correlations (2y) & Currency Check

Editable correlation matrix across 11 core markets (of 21 screened).

Market	Palm	Soyoil	Meal	Soy	Corn	Wheat	Arab.	Rob.	Sugar	Cocoa	Gasoil
Palm Oil	1.00	0.39	-0.03	0.25	0.18	0.17	0.14	0.06	0.31	-0.10	0.33
Soyoil	0.39	1.00	-0.02	0.54	0.40	0.39	-0.01	0.03	0.14	-0.13	0.30
Soymeal	-0.03	-0.02	1.00	0.68	0.49	0.39	0.04	0.08	-0.11	-0.02	0.05
Soybeans	0.25	0.54	0.68	1.00	0.68	0.50	0.10	0.18	-0.03	-0.02	0.17
Corn	0.18	0.40	0.49	0.68	1.00	0.68	0.17	0.15	0.11	-0.00	0.22
Wheat SRW	0.17	0.39	0.39	0.50	0.68	1.00	0.07	0.06	0.18	-0.10	0.30
Arabica	0.14	-0.01	0.04	0.10	0.17	0.07	1.00	0.75	0.23	0.25	0.05
Robusta	0.06	0.03	0.08	0.18	0.15	0.06	0.75	1.00	0.18	0.15	0.01
Raw Sugar	0.31	0.14	-0.11	-0.03	0.11	0.18	0.23	0.18	1.00	0.05	0.21
Cocoa NY	-0.10	-0.13	-0.02	-0.02	-0.00	-0.10	0.25	0.15	0.05	1.00	-0.04
Gasoil	0.33	0.30	0.05	0.17	0.22	0.30	0.05	0.01	0.21	-0.04	1.00

Key Portfolio Correlation Takeaways

- **Palm vs Soyoil (+0.39):** Moderate link lowers spread vol while leaving clear inter-oil divergence.
- **Arabica vs Robusta (+0.75):** High positive correlation is why our fallback caps combined Brazil + Vietnam coffee at 25%.
- **Cross-Sector Diversification:** Low links across Vegoils, Sugar, Coffee, and Wheat cut portfolio vol ~36–43% below summed leg vols.

Currency Hedge & Contract Hygiene

- **USD/MYR FX Management:** Bursa FCPO settles in MYR vs USD CBOT Soyoil; rolling USD/MYR NDFs hedge currency risk (changing FX convention shifts F1's risk share by just 1.4pp).
- **Exact YYYY-MM Contract Matching:** Matching identical contract IDs week-to-week eliminates artificial roll jumps across all 20 backtest / 21 live curves.

Enhancements: The matrix ideally would be regime dependant and clustered